

China, now the hinterland of Hong Kong, has been expanding at 12 to 15 percent per year, with other coastal provinces close behind and the inland provinces, too, emerging from slumber. China is now awake, and we must face the consequences of this awakening.

The stock market potential is sensational. Japan is a precursor of what could happen. In 1950, Japan was in terrible shape, with the market at 100. Then Japanese growth took off. By 1969 the market hit 2400. In 1981 it had risen to 7500. By 1989, the Nikkei Index peaked at 38000 before the bubble burst (the index fell as low as 14000). The long-term results created a host of fantastically wealthy Japanese, especially since real estate prices were experiencing a similar bull market. The story was the same in Hong Kong, Taiwan, and other Asian countries.

It is already predicted that fairly early in the next century China's GNP will surpass not only Japan's but our own. China then will be as prosperous as Japan is today, but with ten times as many people.

If the preceding paragraph doesn't make you nervous, please reread it. Consider the trade issues that will arise. If you liked competing with Japan, you will love China. Estimate the air and water pollution that will occur. Graph out the consumption of oil, timber, fish, and other natural resources. Calculate the military potential of a country with 1.5 billion people and a modern industrial base. All of these are serious issues. There is little the United States can do about China's galloping growth except to persuade her that democracy and international cooperation are in her own best interest.